
PAPERBOY

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The Fed chair used Jackson Hole to say the inflation job is unfinished, and Asian chip stocks spent Monday deciding they did not care.

AI

Anthropic says it will defend itself “robustly” against the music publishers

WHAT HAPPENED

Anthropic gave its first on-record response to the copyright suit Sony Music Publishing and Warner Chappell filed on 28 August in the Northern District of California, telling TechCrunch: “We disagree with the publishers' claims and we intend to defend ourselves robustly in court.” The complaint, which names co-founders Dario Amodei and Benjamin Mann personally, alleges a “brazen campaign of illegally torrenting, scraping, and downloading copyrighted works” — lyrics and sheet music pulled in through mass book downloads — to train Claude. Statutory damages run to \$150,000 per infringed work, plus up to \$25,000 for each removal of copyright management information. No docket movement beyond the filing itself has surfaced.

WHAT IT MEANS

Until now Anthropic had said nothing. “Robustly” reads as no quick settlement, which is notable from a company that paid \$1.5bn to end the Bartz case, approved 21 July. Naming Amodei and Mann personally is the aggressive part of the complaint, and whether those claims survive is the first real test.

WATCH NEXT

A motion to dismiss the individual claims, and which judge draws the case.

SpaceX will cast its own gas-turbine blades to power AI datacentres

WHAT HAPPENED

Elon Musk confirmed SpaceX is building a turbine-blade casting foundry in Bastrop, Texas, on roughly 830 acres acquired between March and June, to make natural-gas turbine blades in-house. His stated reason: “By doing in-house casting at SpaceX, we can accelerate nat gas turbines coming online by up to 18 months.” Turbine lead times, not chips, are increasingly the binding constraint on new datacentre capacity. It lands amid a fight over xAI's Memphis “Colossus” site, where the NAACP has accused the company of running turbines without permits, and a Piedmont Environmental Council study modelling eight full-time turbines in Virginia's Data Center Alley as affecting over 2.5 million people, with \$53m to \$99m a year in health damages.

WHAT IT MEANS

You integrate backwards into power hardware when you have concluded the grid will not get out of the way. It also drops a rocket company into the merchant-power supply chain and hands local opponents a considerably bigger target than a datacentre.

WATCH NEXT

Whether the Bastrop foundry needs an air permit of its own, and who objects.

Chatbots beat search engines at debunking state propaganda

WHAT HAPPENED

NPR and the disinformation tracker NewsGuard ran 30 test queries built from 15 false narratives pushed by China, Iran and Russia between December 2025 and July 2026, against ChatGPT, Gemini, Copilot, Meta AI, Grok and Claude, plus the AI summaries on Google, Bing and DuckDuckGo. The chatbots debunked the false narratives roughly 75% of the time, significantly outperforming both the AI search summaries and ordinary results, which “often presented only false information on first page.” Google's Davis Thompson disputed the method, saying many “so-called 'failed' responses provided useful context”. University of Zurich researcher Morgan Wack was less forgiving: “If you have to scroll through seven things repeating disinformation to get to maybe this didn't happen type caveat, I'm not sure that's the loophole.”

WHAT IT MEANS

A useful inversion: the system that is supposed to hallucinate beat the index that is supposed to be grounded. A chatbot answers a question; a search engine ranks documents, and propaganda is built to rank.

WATCH NEXT

Whether Google changes how AI Overviews handle known false narratives.

HBM spot prices reported at four to five times contract levels

WHAT HAPPENED

Seoul Economic Daily reports HBM3E (36GB) trading around \$2,100 on the spot market against long-term-agreement pricing of 500,000 to 700,000 won, a four- to five-fold markup, with 16-layer HBM4 spot at about \$3,500. No second outlet carries these figures and no price tracker corroborates them, so treat the multiples as unconfirmed. What is confirmed is the scale of the boom underneath: Samsung Electronics posted 89.4tn won of operating profit in the second quarter on about 171tn won of revenue, and SK hynix 60.54tn won on 79.32tn won of revenue — a 76% operating margin. Korea Semiconductor Industry Association executive director Ahn Ki-hyun, quoted by the same paper, said HBM4 “sells for roughly twice as much as previous generation”.

WHAT IT MEANS

If the spot-to-contract gap is anywhere near that wide, every buyer on a long-term agreement holds an option worth more than the contract, and every seller has a reason to reopen it. That is how allocation fights begin.

WATCH NEXT

September DRAM contract settlements, and whether a second outlet ever prints the spot numbers.

Asian chip stocks whipsaw in the first session after Jackson Hole

WHAT HAPPENED

Monday was the first Asian trading day after the Fed chair's speech, and it was ugly before it was fine. The KOSPI opened down 2.58%, or 175.30 points, at 6,613.58, then reversed to close up 31.14 at 6,820.02, a gain of 0.46%. Samsung closed at 260,000 won, up 1.17%, and SK hynix at 1,674,000 won, up 1.27%; the KOSDAQ finished at 834.29, down 0.49%. In Tokyo, Advantest and Tokyo Electron between them dragged the Nikkei down about 721 points intraday before it recovered almost all of it, closing at 66,311.93, down 93.63 or 0.14%. The Hang Seng closed at 25,566.99, down 17.80 — effectively flat, and down 1.23% across August.

WHAT IT MEANS

Memory names are trading on their own supply story rather than on the rates story, which is what a genuine shortage looks like from the outside. The Japanese equipment makers, whose customers' capital spending is rate-sensitive, did not get the same pass.

WATCH NEXT

Whether the Korean rebound survives a full US session.

Dell reports Tuesday, and the AI backlog is the number

WHAT HAPPENED

Dell reports fiscal second-quarter results after the close on Tuesday 1 September. Company guidance points to \$44bn to \$45bn of revenue, roughly 50% growth, and about \$4.80 of earnings per share. The figure that matters is the AI server backlog: last quarter Dell booked \$24.4bn of AI server orders, recognised \$16.1bn of AI server revenue and closed with a record \$51.3bn backlog, with roughly \$15.5bn of AI server revenue expected this quarter and infrastructure segment growth near 75%. The analyst consensus is a moderate buy with an average target of \$509.86.

WHAT IT MEANS

Dell is the cleanest read on whether the memory cost squeeze has reached the people who actually assemble servers. Nvidia sells the scarce thing; Dell buys it. Gross margin compressing while the backlog grows would be the whole 2027 story in one line.

WATCH NEXT

Gross margin, and whether the backlog grows or is merely reaffirmed.

Warsh uses Jackson Hole to say the inflation job is not done

WHAT HAPPENED

This predates the coverage window and our last brief missed it, so it goes here. Fed Chair Kevin Warsh gave the opening address, “In Our Time”, at the Kansas City Fed's Jackson Hole symposium on Friday 28 August. He called the 2% PCE target “a firm, fixed target”, said “price stability is not self-executing”, and assigned blame directly: “The responsibility for 65 months of sustained, elevated inflation sits squarely with the central bank.” Noting that “the 12-month change in the PCE price index stands at 3.7 percent”, he said the Fed's “predominant focus right now should be on prices”, and set the bar for stopping: “We must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed. Otherwise, we have work to do.” He also attacked forward guidance, which “risks creating ambiguity in the name of clarity”. The two-year Treasury yield rose from 4.20% on Thursday to 4.34% on Friday; the ten-year from 4.67% to 4.73%.

WHAT IT MEANS

This is a hike speech, two weeks before a meeting that publishes projections. July's decision was 9 to 3 with all three dissents for a rise, and the chair has now placed himself closer to the dissenters than to the majority he leads. The attack on forward guidance is the other half: he is reserving the right to move without signalling first.

WATCH NEXT

FOMC 15 and 16 September, with a Summary of Economic Projections that Warsh abstains from.

China's factories climb back toward breakeven

WHAT HAPPENED

The National Bureau of Statistics put August manufacturing PMI at 49.8, up 0.6 points from July's 49.2, though still below the 50 line that separates expansion from contraction. Non-manufacturing was unchanged at 49.0, the composite output index rose to 49.5 from 49.3, and construction slipped 0.1 to 46.9, which the bureau attributed to severe weather in some regions. Postal, telecoms, broadcasting and IT services sub-indices all came in above 55. A sourcing caveat: stats.gov.cn was unreachable, so these figures come from China News Service quoting the NBS release, not the bureau's own page.

WHAT IT MEANS

Six-tenths of a point is a real move off a low base, and the sub-index detail says the strength is in digital services rather than the property-linked construction economy. Still contracting is still contracting.

WATCH NEXT

The RatingDog/Caixin manufacturing PMI, due 1 September; July's was 50.9.

Caterpillar's fastest-growing business is selling datacentre electricity plumbing

WHAT HAPPENED

Caterpillar set out how far its AI programme has gone beyond autonomous mining: a voice-driven “Cat AI Assistant” that walks field technicians through repairs, digital-twin site scanning, and internal agents modernising legacy code. It is committing \$100m over five years to train 118,000 employees, drawing on 1.6 million connected assets and more than 16 petabytes of data. Chief technology officer Jaime Mineart: “The hard part about autonomy and about physical AI is incorporating that technology into the customer jobsite and into the workflows.” Second-quarter revenue hit an all-time high of \$20.5bn, with the power generation division up 72% to \$3.10bn.

WHAT IT MEANS

The 72% is the point. A hundred-year-old machinery company is now partly an AI infrastructure supplier, and its best growth line is the electricity plumbing rather than anything intelligent.

WATCH NEXT

Whether power generation keeps outgrowing the rest of the company at the October quarter.

STARTUPS

Liux raises €16m for a linen-bodied microcar

WHAT HAPPENED

Spanish EV startup Liux disclosed €16m, about \$18.5m and including European backing, for its “Big” microcar, which uses a linen-based biocomposite body and is built at what the company says is Spain's first new car plant in more than 30 years. Co-founder Antonio Espinosa de los Monteros framed the material as a design-for-disassembly bet: “recycling isn't just a lab concept”, with the car built “so that a second life is possible”. Liux has 65 employees and more than 7,500 people on a waiting list, and plans to start selling the Big in the first half of 2027 at under €18,000, roughly \$21,000, before EV subsidies.

WHAT IT MEANS

The European answer to cheap Chinese EVs keeps arriving in the same shape: small and light, and cheap because it is small and light rather than because the battery got cheaper. Under €18,000 pre-subsidy is genuinely competitive. Sixty-five people running a car plant is the part to be sceptical about.

WATCH NEXT

Whether a customer car comes off that line in 2027.

S-Transistors takes €2.6m for superconducting quantum control chips

WHAT HAPPENED

Finnish startup S-Transistors raised a €2.6m pre-seed led by Lifeline Ventures, with one angel investor, to build superconducting transistor circuits — starting with a multiplexer meant to cut the wiring and power overhead of controlling qubits inside a cryostat. Chief executive Heorhii Bohuslavskyi: “Superconducting transistors are exactly that missing piece of hardware for large-scale, energy-efficient quantum computing.” Chief technology officer Andrey Generalov said combining transistor function with “near-zero power dissipation in a single device” enables “a completely new level of energy-efficient cryogenic computing”. Lifeline partner Jyri Engeström called it “one of those rare companies built around a genuinely new piece of fundamental technology”.

WHAT IT MEANS

The unglamorous constraint in quantum computing is that every qubit needs its own cable out of the refrigerator, and cables carry heat in. Solving the wiring is less exciting than solving the qubit and probably matters more for getting to scale.

WATCH NEXT

A working multiplexer demonstrated inside a real dilution refrigerator.

European funding week cools to €475m

WHAT HAPPENED

Tech.eu's weekly tally counted more than 35 European tech funding deals worth over €475m in the week to 31 August, down from €684m across 45-plus deals the previous week and €763m across 35-plus deals the week before that. Deal count held roughly steady while total value fell by nearly a third. The figure is tech.eu's own count and the specific recap page was not independently verified.

WHAT IT MEANS

The last week of August in Europe is the slowest week of the year, so read this as seasonal until September says otherwise. The steady deal count against a falling total is the mildly interesting part: early-stage activity carried on while the large rounds stopped.

WATCH NEXT

The first full September week, which is the real test.

A second deportation flight lands in the Central African Republic

WHAT HAPPENED

NPR reported that a deportation flight landed in Bangui on 30 August carrying an Afghan man in his early twenties along with 12 other Afghans, eight Iranians, and people from Nepal and Nicaragua — the second such flight to the Central African Republic since June, the first having carried about two dozen people. The Afghan man had won judicial protection against removal to Afghanistan on persecution grounds, and was sent to a third country instead. One of his brothers served in the Afghan National Army; another, a US-trained pilot, was killed by the Taliban. His attorney, Alma David, said “his family in Afghanistan had received threats from the Taliban because of the work performed by the brothers in support of the U.S. military.” No outlet other than NPR has the story; member stations republishing it are not independent confirmation.

WHAT IT MEANS

Third-country removal is the mechanism that lets an order against deportation to a specific country be honoured to the letter while producing something close to the outcome the order was meant to prevent.

WATCH NEXT

Whether the terms of the Central African Republic arrangement are ever published.

No civil rights charges for the ICE agent who shot Julio Sosa-Celis

WHAT HAPPENED

Federal prosecutors in Minneapolis declined to bring civil rights charges against ICE agent Christian Castro over a January shooting that wounded Julio Sosa-Celis during an enforcement operation in Minnesota, MPR News reported. Castro was released from custody in Brownsville, Texas after the decision. Neither the charging rationale nor any Justice Department statement was in the reporting, so the basis for the declination is not public.

WHAT IT MEANS

A declination is not an exoneration, and it is not reviewable, which is why the missing rationale is the story rather than a footnote to it. It also removes the one federal mechanism that was going to produce a public factual record of what happened in January.

WATCH NEXT

Whether the Justice Department publishes a declination memo, and whether a civil suit follows.

Two dead, eight wounded at a Trenton block party

WHAT HAPPENED

Multiple shooters opened fire on a crowd of roughly 100 people at an unauthorised block party on the 100 block of Locust Street in East Trenton at about 12.25am Sunday. A 33-year-old woman and a 42-year-old man were killed; eight others, six women and two men aged 23 to 43, were wounded and are stable. Police recovered more than 50 spent shell casings, and several vehicles were struck. Mayor Reed Gusciora called it “a large, unauthorized adult gathering involving hundreds of people on a residential street”, adding that “a gathering of that magnitude creates serious public-safety concerns”. Governor Mikie Sherrill said she was “thinking of the families who lost loved ones”. The Mercer County homicide task force is leading the investigation and no arrests have been reported.

WHAT IT MEANS

Fifty casings and multiple shooters into a crowd of a hundred is a scale of firepower that makes the argument about whether the gathering was permitted look beside the point.

WATCH NEXT

Arrests, and whether Trenton moves toward permitted street events rather than banning them.

Nepal's flood toll passes 900 with more than 4,000 missing

WHAT HAPPENED

Nepal's disaster authority put the Bhotekoshi flood toll at 903 dead, 4,247 missing and 10,451 rescued as of 11.32am Monday, up from 734 dead and 2,498 missing on Sunday morning. The missing include 592 foreign nationals; separately the US State Department told ABC News that about 85 Americans are unaccounted for, a figure not folded into the Nepali count. On Sunday afternoon the army broke through to the crown of the Upper Trishuli hydropower tunnel and got no answer from inside. Army spokesman Rajaram Basnet: "After drilling a hole, we found that the water level extends high up inside a tunnel with a diameter of around seven metres." The military estimates at least 35 people trapped there; Nepal Police put it nearer 200. A naming note: Nepali outlets now call this the Bhotekoshi flood, where earlier briefs including ours called it the Langtang Ri collapse into the Lende — the same event, differently named.

WHAT IT MEANS

The missing figure is rising faster than the dead figure, which means the count is still catching up to the event rather than converging on it. A seven-metre tunnel with water standing high inside it is no longer a rescue problem.

WATCH NEXT

The Trishuli tunnel, and the first day the missing number falls rather than rises.

Xi and Putin meet in Bishkek with the pipeline still unsigned

WHAT HAPPENED

Xi Jinping and Vladimir Putin were due to hold a bilateral meeting in Bishkek on Monday 31 August, on the eve of the Shanghai Cooperation Organisation heads-of-state summit, which takes place on 1 September and is expected to produce a Bishkek Declaration. Kremlin aide Yury Ushakov said the Power of Siberia 2 gas pipeline would be discussed “bilaterally... in the meeting with the Chinese leader”. As of Monday afternoon Bishkek time neither side had published a readout, a joint statement or any pipeline agreement. Putin's schedule also included Narendra Modi and Kassym-Jomart Tokayev. Xi arrived Sunday for a state visit and told President Sadyr Japarov that China-Kyrgyzstan cooperation had entered a “golden period”, per Chinese state media.

WHAT IT MEANS

The two met in Beijing in May and came away with documents but no price and no timeline. Nothing since has changed the arithmetic, which is that Russia needs the buyer more than the buyer needs the gas. A third summit ending without a contract is itself the result.

WATCH NEXT

The Bishkek Declaration on 1 September, and any Gazprom-CNPC announcement alongside it.

Guinea-Bissau counts a referendum on presidential power

WHAT HAPPENED

Guinea-Bissau voted on Sunday 30 August on a constitutional change to a presidential system, removing the requirement that the prime minister come from the parliamentary majority and giving the president power to appoint and dismiss ministers and dissolve parliament. Idrissa Djalo, executive secretary of the national electoral commission, said turnout “exceeded 55 percent” and that voting passed “without any incidents that would call into question the credibility of the vote”. Counting is under way and results are expected on Tuesday 1 September. Transitional president General Horta Inta-A Na Man has said the aim is to let “whoever wins the elections... see out their mandate without hindrance”. A general election is set for 6 December.

WHAT IT MEANS

A transitional government installed by a coup has run a referendum on concentrating power in the presidency, ahead of an election it scheduled itself. The turnout figure is the commission's own and there is no independent count against it.

WATCH NEXT

The result on Tuesday, and whether any credible international observers were present.

SOURCES

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[Al Jazeera](#) — Russia and China leaders to meet at the SCO summit

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